

Multiple Choice (10 marks)

1. What is the capital of a firm that has total assets of 240,000, *total liabilities of* 100,000, and an income of \$40,000 for one year?
 - (a) \$240,000
 - (b) \$40,000
 - (c) \$100,000
 - (d) \$300,000
 - (e) \$280,000
2. The salesman for the Fabulous Footwear Co., receive a 1.5% commission on all sales. What would a salesman's income be for the month in which he sold \$54,600 worth of shoes?
 - (a) \$820
 - (b) \$500
 - (c) \$730
 - (d) \$54,600
 - (e) \$2,190
3. Mr. Williams owns a piece of property assessed at 7,800 *in a city which has a tax rate of* 2.80 per \$100. How much in property taxes does he pay?
 - (a) \$218.40
 - (b) \$220.00
 - (c) \$234.00
 - (d) \$210.00
 - (e) \$225.60
4. Jacob gave the Franklin Mint a 90-day note for \$1250 on October 10. If it was discounted at the bank on November 15 at $6\frac{1}{2}\%$, what were the proceeds?
 - (a) \$1,200
 - (b) \$1,215.75
 - (c) \$1,230.50
 - (d) \$1,235.00
 - (e) \$1,242.50

5. What is the effective rate of yield of a stock selling for 60 and paying an annual dividend of 2?
- (a) $2\frac{1}{2}\%$
 - (b) $3\frac{1}{3}\%$
 - (c) 4%
 - (d) 5%

True / False (10 marks)

Answer True or False

- 6. True or False: The selling price of the automobile represents 92% of its original cost of \$12,640.
- 7. True or False: Mrs. Kaplan's annual interest rate for the coffee table installment plan was 17.5%, reflecting a lower financing cost.
- 8. True or False: It takes 36 days for 1,640 to generate 6.56 in interest at an annual interest rate of 4%.
- 9. True or False: PEST represents Political, Environmental, Strategic, and Social factors affecting market analysis.
- 10. True or False: Broadcast media effectively showcases product benefits, enhancing the impact of an advertiser's message through audio-visual elements.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Analyze the loan terms of a \$384.75 loan taken for 60 days at an interest rate of 6%. Calculate the interest paid, and discuss the implications of such a loan on personal finance management.
- 12. Analyze how property tax assessments impact local government funding by calculating the portion of Mr. Stevens' property tax that is allocated to the county government based on his home assessment.

End of Paper